聯詠科技股份有限公司
NOVATEK MICROELECTRONICS CORP.

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# Novatek Announces 2023 Third Quarter Consolidated Financial Result & The Fourth Quarter Outlook:

## First Three Quarters Revenue & PAT Reached NT$83.3B & NT$17.99B Respectively With EPS of NT$29.56

**Hsin-chu, Taiwan, ROC – November 7th, 2023 – Novatek** (TSE:3034), a leading global display and image IC total solution provider, today announced its consolidated financial results of 2023's first three quarters and the fourth quarter outlook at the analyst meeting.

Revenue, gross profit, and operating income in the first three quarters of 2023 reached NT$83.3 billion, NT$34.95 billion, and NT$20.36 billion, representing year-over-year decrease of 4.87%, 16.49%, and 26.03%, respectively. The gross profit margin in the first three quarters of 2023 decreased to 41.97%, from 47.81% in the first three quarters of 2022. Net income in the first three quarters of 2023 decreased by 24.81% year-over-year to NT$17.99 billion, with earnings per share of NT$29.56.

The third quarter revenue was down by 4.52% quarter-over-quarter to NT$28.93 billion from NT$30.3 billion in Q2'23, and increased by 47.88% year-over-year from NT$19.56 billion in Q3'22. The sequential revenue decline was caused by earlier ordering from IT products in 2Q. The third quarter gross margin increased QoQ and exceeded the guidance from 41.74% in Q2'23 to 42.25%, due to a combination of the reversal gain from inventory write-downs, cost reductions, and favorable FX.

The third quarter operating expenses decreased quarter-over-quarter to NT$5.08 billion from NT$5.1 billion in Q2'23 and down year-over-year from NT$4.09 billion in Q3'22. The third quarter operating income decreased quarter-over-quarter to NT$7.14 billion from NT$7.55 billion in Q2'23 and increased year-over-year from NT$4.25 billion in Q3'22

Novatek's 2023 Q3 net income was NT$6.37 billion, which decreased quarter-over-quarter by 7.36% from NT$6.87 billion in Q2'23 and increased year-over-year by 47.87% from NT$4.31 billion in Q3'22. Earnings per share for Q3'23 were NT$10.46, compared with NT$7.07 in Q3'22.

Management expects overall performance for the fourth quarter 2023 to be as followings:
Revenue is expected to be between NT$ 26.1 billion and NT$ 27.1 billion
Gross profit margin is expected to be between 38.5% and 40.5%
Operating profit margin is expected to be between 21% and 23%

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## Sales & Profits

| Million NT dollars | 3Q'23 | QoQ | 2Q'23 | 3Q'22 | YoY |
|---|---|---|---|---|---|
| Net Sales | 28,930 | -4.52% | 30,299 | 19,564 | 47.88% |
| Net Gross Profit | 12,223 | -3.35% | 12,647 | 8,344 | 46.48% |
| (Margin %) | 42.25 | 0.5p | 41.74 | 42.65 | -0.4p |
| Operating Income | 7,143 | -5.39% | 7,550 | 4,255 | 67.88% |
| Net Income | 6,366 | -7.36% | 6,872 | 4,305 | 47.87% |
| EPS (NT$) | 10.46 | -0.83 | 11.29 | 7.07 | 3.39 |

## Sales Breakdown by Product

| Million NT dollars | 3Q'23 | QoQ | 2Q'23 | 3Q'22 | YoY |
|---|---|---|---|---|---|
| SoC | 11,082 | 0.21% | 11,059 | 7,436 | 49.03% |
| Driver IC | 17,877 | -7.50% | 19,327 | 12,205 | 46.47% |
| Total | 28,959 | -4.70% | 30,386 | 19,641 | 47.44% |

**About Novatek**

Novatek was established in 1997, specializing in display and image centered total solutions ranging from full line of display ICs and SoC for all display and image applications. The Company is the world's largest supplier of display driver ICs, and is ranked as the world 8th largest and Taiwan's 3rd largest fabless company in terms of sales revenue. For more information, please visit the company's web site at **www.novatek.com.tw.**




# Novatek Microelectronics Corp.
# Financial Report 2023 Q3



**Issued in Nov 2023**

# Monthly Sales

MNT$

| | 2023 | 2022 | + (-) % |
|---|---|---|---|
| January | 7,223 | 12,317 | -41% |
| February | 7,641 | 11,725 | -35% |
| March | 9,181 | 12,470 | -26% |
| April | 9,961 | 12,320 | -19% |
| May | 10,225 | 10,984 | -7% |
| June | 10,112 | 8,158 | 24% |
| July | 9,675 | 6,866 | 41% |
| August | 9,694 | 6,527 | 49% |
| September | 9,561 | 6,171 | 55% |
| October | 9,526 | 6,873 | 39% |
| November | | 7,779 | |
| December | | 7,769 | |
| Total: | 92,801 | 109,957 | -16% |
| Jan.~Oct. | 92,801 | 94,409 | -2% |

# Sales Breakdown By Products

**MNT$**

| Product | 2023/Q3 | | 2023/Q2 | | 2023/Q1 | | 2022/Q4 | | 2022/Q3 | |
|---|---|---|---|---|---|---|---|---|---|---|
| | AMT | % | AMT | % | AMT | % | AMT | % | AMT | % |
| SOC | 11,082 | 38 | 11,059 | 37 | 9,400 | 39 | 7,823 | 35 | 7,436 | 38 |
| DRIVER | 17,877 | 62 | 19,327 | 64 | 14,508 | 60 | 14,601 | 65 | 12,205 | 62 |
| Total: | 28,959 | 100 | 30,386 | 100 | 23,908 | 99 | 22,424 | 100 | 19,641 | 100 |
| OTHERS | 78 | 0 | 51 | 0 | 265 | 1 | 98 | 0 | 32 | 0 |
| Return & Allowance | (107) | (0) | (138) | (0) | (127) | (1) | (102) | (0) | (109) | (1) |
| Grand Total: | 28,930 | 100 | 30,299 | 100 | 24,046 | 100 | 22,420 | 100 | 19,564 | 100 |
| Growth | -5% | | 26% | | 7% | | 15% | | -38% | |

# Consolidated Income Statement (YoY)

(Expressed In New Taiwan Thousand Dollars)

| | 2023/1-9 | % | 2022/1-9 | % | Growth % |
|---|---|---|---|---|---|
| Net sales | 83,274,873 | 100.00 | 87,536,513 | 100.00 | **(4.87)** |
| Cost of good sold | (48,326,579) | (58.03) | (45,685,681) | (52.19) | 5.78 |
| Gross Profit | 34,948,294 | 41.97 | 41,850,832 | 47.81 | (16.49) |
| Operating Exp. | (14,592,895) | (17.53) | (14,331,081) | (16.37) | 1.83 |
| Selling & Adm. | (2,080,350) | (2.50) | (2,171,889) | (2.48) | (4.21) |
| R & D Exp. | (12,512,545) | (15.03) | (12,159,192) | (13.89) | 2.91 |
| Operating Income | 20,355,399 | 24.44 | 27,519,751 | 31.44 | (26.03) |
| Net Non-Operating | 1,545,618 | 1.86 | 2,007,692 | 2.29 | (23.02) |
| Income Before Tax | 21,901,017 | 26.30 | 29,527,443 | 33.73 | (25.83) |
| Income Tax Exp. | (3,911,461) | (4.70) | (5,600,700) | (6.40) | (30.16) |
| Net Income | 17,989,556 | 21.60 | 23,926,743 | 27.33 | **(24.81)** |
| EPS | **29.56** | | **39.32** | | |

# Consolidated Income Statement (Q3 YoY)

(Expressed In New Taiwan Thousand Dollars)

| | 2023/Q3 | % | 2022/Q3 | % | Growth % |
|---|---|---|---|---|---|
| Net sales | 28,929,962 | 100.00 | 19,563,686 | 100.00 | **47.88** |
| Cost of good sold | (16,707,294) | (57.75) | (11,219,393) | (57.35) | 48.91 |
| Gross Profit | 12,222,668 | 42.25 | 8,344,293 | 42.65 | 46.48 |
| Operating Exp. | (5,079,563) | (17.56) | (4,089,317) | (20.90) | 24.22 |
| Selling & Adm. | (717,106) | (2.48) | (613,163) | (3.13) | 16.95 |
| R & D Exp. | (4,362,457) | (15.08) | (3,476,154) | (17.77) | 25.50 |
| Operating Income | 7,143,105 | 24.69 | 4,254,976 | 21.75 | 67.88 |
| Net Non-Operating | 623,583 | 2.15 | 1,010,780 | 5.16 | (38.31) |
| Income Before Tax | 7,766,688 | 26.84 | 5,265,756 | 26.91 | 47.49 |
| Income Tax Exp. | (1,400,867) | (4.84) | (960,676) | (4.91) | 45.82 |
| Net Income | 6,365,821 | 22.00 | 4,305,080 | 22.00 | **47.87** |
| EPS | **10.46** | | **7.07** | | |

# Consolidated Income Statement (QoQ)

(Expressed In New Taiwan Thousand Dollars)

| | 2023/Q3 | % | 2023/Q2 | % | Growth % |
|---|---|---|---|---|---|
| Net sales | 28,929,962 | 100.00 | 30,299,029 | 100.00 | **(4.52)** |
| Cost of good sold | (16,707,294) | (57.75) | (17,652,206) | (58.26) | (5.35) |
| Gross Profit | 12,222,668 | 42.25 | 12,646,823 | 41.74 | (3.35) |
| Operating Exp. | (5,079,563) | (17.56) | (5,096,493) | (16.82) | (0.33) |
| Selling & Adm. | (717,106) | (2.48) | (719,939) | (2.37) | (0.39) |
| R & D Exp. | (4,362,457) | (15.08) | (4,376,554) | (14.45) | (0.32) |
| Operating Income | 7,143,105 | 24.69 | 7,550,330 | 24.92 | (5.39) |
| Net Non-Operating | 623,583 | 2.15 | 721,370 | 2.38 | (13.56) |
| Income Before Tax | 7,766,688 | 26.84 | 8,271,700 | 27.30 | (6.11) |
| Income Tax Exp. | (1,400,867) | (4.84) | (1,399,801) | (4.62) | 0.08 |
| Net Income | 6,365,821 | 22.00 | 6,871,899 | 22.68 | **(7.36)** |
| EPS | **10.46** | | **11.29** | | |

# Financial Numbers

(Expressed In New Taiwan Thousand Dollars)

| | 2023/9/30 | 2023/6/30 | 2023/3/31 | 2022/12/31 | 2022/9/30 |
|---|---|---|---|---|---|
| Cash and Cash Equivalents | 45,583,206 | 63,437,035 | 56,994,035 | 49,170,893 | 39,599,462 |
| Short Term Loans | 0 | 0 | 0 | 0 | 0 |
| Net Cash | 45,583,206 | 63,437,035 | 56,994,035 | 49,170,893 | 39,599,462 |
| QoQ Change | (17,853,829) | 6,443,000 | 7,823,142 | 9,571,431 | (30,662,524) |
| Notes & Accounts receivable | 20,611,687 | 20,557,090 | 16,947,416 | 15,764,511 | 13,971,711 |
| QoQ Change | 54,597 | 3,609,674 | 1,182,905 | 1,792,800 | (7,436,476) |
| Inventory | 9,115,106 | 10,516,018 | 10,591,430 | 12,028,871 | 17,179,972 |
| QoQ Change | (1,400,912) | (75,412) | (1,437,441) | (5,151,101) | (1,656,589) |